

Identification Guidelines

[Table 57.1](#) shows the identification guidelines for the ascending scallop.

Appearance. Ascending scallops resemble the letter J. The peak on the left side is below the right side with a rounded recession in between. The two peaks should not be near each other in price (otherwise, you have a cup with handle, rounding turn, or even a double top chart pattern). There's an exception for this when the appearance of a scallop is near the trend end. They tend to have nearly the same start and end prices.

Price trend. As one might guess from the pattern's name, ascending scallops appear in a rising price trend. Rarely do they occur in a declining trend. More often, the scallop will signal a trend change (from down to up) when it appears after a long downtrend.

[Table 57.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	Look for two price peaks with a rounded recession in between and a higher right peak. Ascending scallops look like the letter J.
Price trend	Price should rise leading to ascending scallops.
Volume	Ascending scallops often show a U-shaped volume trend.
Width	Scallops tend to be wider near the start of a trend than near the end, but allow variations.
Breakout direction	Can be upward or downward. A breakout happens when price closes above the top of the pattern or below the bottom of it.

Volume. Volume usually resembles the price pattern: higher at the ends than in the middle. However, do not exclude a scallop with domed or other shaped volume.

Width. Wide scallops usually mark the start of a rising price trend and narrow ones appear near the end of the trend. I base this observation on the average scallop width, so sometimes you see just the opposite: a wide scallop at the end of a trend and narrower ones near the start.